

Form 1040 — 2025 (SELF-PREPARED DRAFT, NOT FILED)

Needs review — I think I made mistakes.

Filing status: ☒ Single ☐ MFJ ☐ Qualifying surviving spouse ☐ HoH

Diane R. Okafor • SSN XXX-XX-4417 • Dependent: Nia Okafor (15)

1a Wages (W-2 box 1)	\$111,920.00
2b Taxable interest (Sch B)	\$1,100.00
3a Qualified dividends	\$1,800.00
3b Ordinary dividends	\$2,000.00
4b/5b IRA & pension distributions (1099-R)	\$15,000.00
7 Capital gain/loss (Sch D) — broker basis, short-term	\$28,400.00
8 Other income (Sch 1): life insurance + HSA distribution	\$54,000.00
9 Total income	\$212,420.00
10 Adjustments (Sch 1)	\$0.00
11 AGI	\$212,420.00
12 Standard deduction (Single)	\$15,750.00
15 Taxable income	\$196,670.00
16 Tax	\$40,047.80
19 Child tax credit (Sch 3)	\$-2,000.00
23 Other taxes (Sch 2: penalty + NIIT)	\$1,971.96
22/24 Total tax	\$40,019.76
25 Withholding (W-2 + 1099-R)	\$14,700.00
37 AMOUNT YOU OWE	\$25,319.76

Schedule 1 — Additional Income and Adjustments (as drafted)

1–7 (various)	\$0.00
8z Other income — life insurance proceeds	\$50,000.00
8f Other income — HSA distribution	\$4,000.00
9 Total other income	\$54,000.00
10 Additional income	\$54,000.00

Part II — Adjustments

13 HSA deduction (Form 8889)	\$0.00
25 Total adjustments	\$0.00

I included the life-insurance payout and the HSA money as income. And I left the HSA deduction blank.

Schedule 2 — Additional Taxes (as drafted)

Part I

1–3 AMT / excess APTC	\$0.00
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Part II

8 Additional tax on early distributions (Form 5329)	\$1,500.00
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12 Net investment income tax (Form 8960)	\$471.96
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21 Total other taxes	\$1,971.96
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10% early-withdrawal penalty on the \$15,000 retirement distribution, plus NIIT on investment income.

Schedule 3 / Credits (as drafted)

Child tax credit (1 qualifying child)	\$2,000.00
Other credits	\$0.00
Total credits	\$2,000.00

Used the \$2,000 figure I remembered.

Schedule A — Itemized Deductions (started, NOT used)

1 Medical and dental expenses	\$30,000.00
2 AGI	\$212,420.00
3 7.5% of AGI	\$15,931.50
4 Medical deduction	\$14,068.50
5a State/local income taxes	\$7,610.56
5b Real estate taxes	\$6,000.00
5e State+local taxes (capped at \$10,000?)	\$10,000.00
8e Home mortgage interest	\$9,000.00
17 Total itemized	\$33,068.50

I started Schedule A but then just took the standard deduction instead. I also capped SALT at \$10,000 and used the full \$30,000 medical without subtracting what the HSA already paid.

Schedule B — Interest and Dividends

Part I Interest

Fidelis Brokerage	\$200.00
Pacific Mutual Life (installment interest)	\$900.00
2 Total interest	\$1,100.00

Part II Ordinary dividends

Fidelis Brokerage	\$2,000.00
6 Total ordinary dividends	\$2,000.00

Schedule D / Form 8949 — Capital Gains (as drafted)

Box E (long-term, basis not reported) and short-term

8949: 400 CRL — proceeds	\$39,200.00
8949: 400 CRL — cost basis (broker 1e)	\$8,800.00
8949: 400 CRL — gain (drafted SHORT-TERM)	\$30,400.00
8949: 150 NVTk — proceeds	\$6,400.00
8949: 150 NVTk — cost basis	\$8,400.00
8949: 150 NVTk — loss (drafted, wash ignored)	\$-2,000.00
Prior-year capital loss carryover applied	\$0.00
16 Net capital gain/loss (drafted)	\$28,400.00

Treated the CRL gain as short-term; claimed the NVTk loss; ignored the 2024 carryover.

Forms 5329, 8889 & Tax Worksheet (as drafted)

Form 5329 — early distribution subject to penalty	\$15,000.00
Exception amount claimed	\$0.00
Additional tax (10%)	\$1,500.00
Form 8889 — HSA: direct contribution deduction	\$0.00
HSA distribution treated as taxable	\$4,000.00
Tax computed on taxable income (Single, ordinary)	\$40,047.80

No penalty exception claimed; HSA deduction skipped; HSA distribution taxed; no preferential rate used.